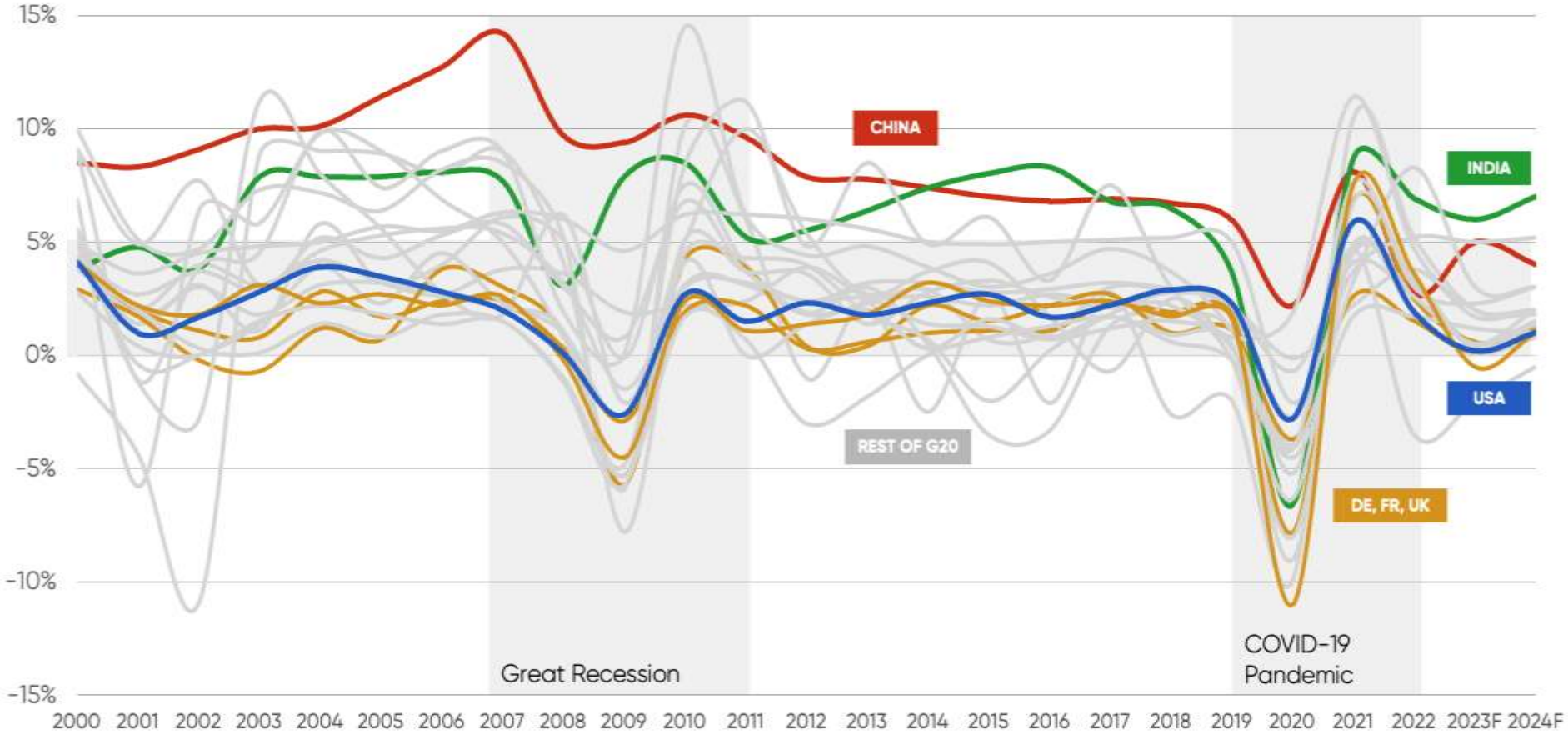
Holon IQ

G20 GDP Growth, 2000-2024F



Source. HolonIQ forecasts as at Mar 3, 2023. IMF and World Bank historical GDP growth figures.

- Looking over the horizon, China will overtake the US and become the world's largest economy around 2035 with India overtaking the US around 2075.

From the G7 to the G20

The last quarter of the 20th century saw a massive expansion of formal and informal intergovernmental consultation bodies with a goal of global economic stability. Their origin lay in the small but select informally G7.

Economic Integration

the G20 is up. It is made up of 19 countries plus the European Union. Together, these countries globally account for 90% of gross national product, 80% of world trade and 75% of the world population.

Definition and forms of economic integration

- **Unlike transactions within the same country, international transactions face barriers as a result of:**

  ⇨**Economic borders.**

  Associated with protectionist policies that discriminate against foreign products in favor of national ones.

  ⇨**The diversity of currencies.**

  Which forces a currency exchange in markets subject to uncertainties and costs.

  ⇨**Restrictions on the mobility of factors.**

  Specific micro and macroeconomic policies for national industries

Economic integration aims to eliminate those differential characteristics

Definition and forms of economic integration

There are different modalities of economic integration according to the type of barrier to international transactions that is being eliminated

DENOMINATION	DESCRIPTION
Preferential agreements	*Countries grant each other a series of preferences (reduction of tariffs or other forms of protection)." This is often part of the structure of preferential trade agreements.*
Free Trade Area (FTA)	Member countries eliminate tariffs among themselves, but maintain their own trade policy towards third parties
Custom Union	It implies the elimination of tariffs and the establishment of a common **external** tariff
Common Market	In addition to the free movement of goods and services, it includes the free movement of **labor** and capital
Economic Union	Implies the coordination of economic policies. This is typically in reference to the efforts within an economic union to harmonize fiscal, monetary, and other economic policies among member countries.
Monetary Union	Includes the adoption of a single currency

Definition and forms of economic integration

The motivations that lead countries to undertake these processes are of various kinds:

Economic

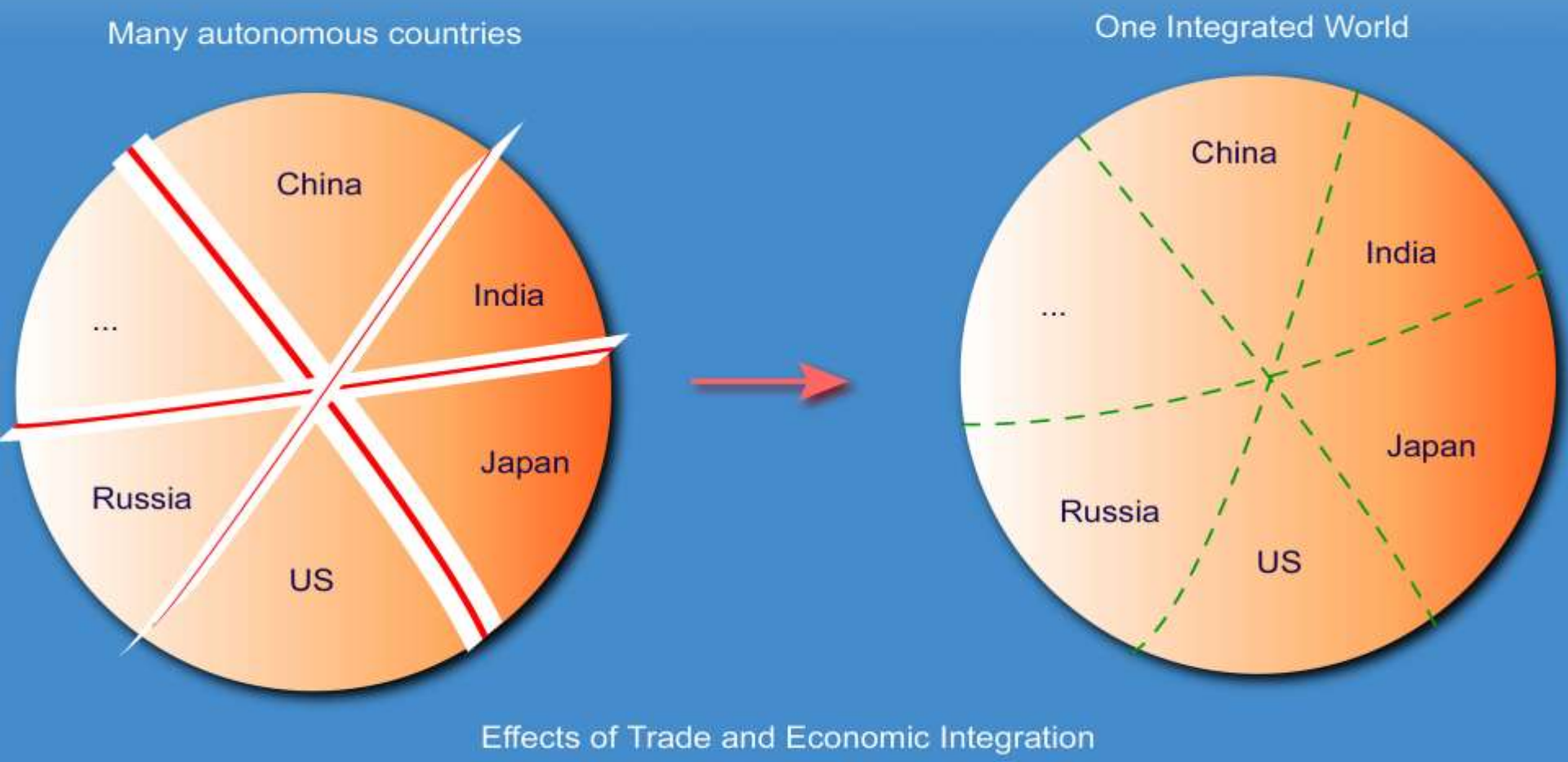
Markets are expanded.
Competition increases.
This helps to accelerate the rate of growth.

Political

The intersection of economic interests helps to reduce tensions and confrontations between countries.
An integrated area carries more weight on the international stage.
It helps to find joint solutions to global problems (environmental, migratory, etc.

Security

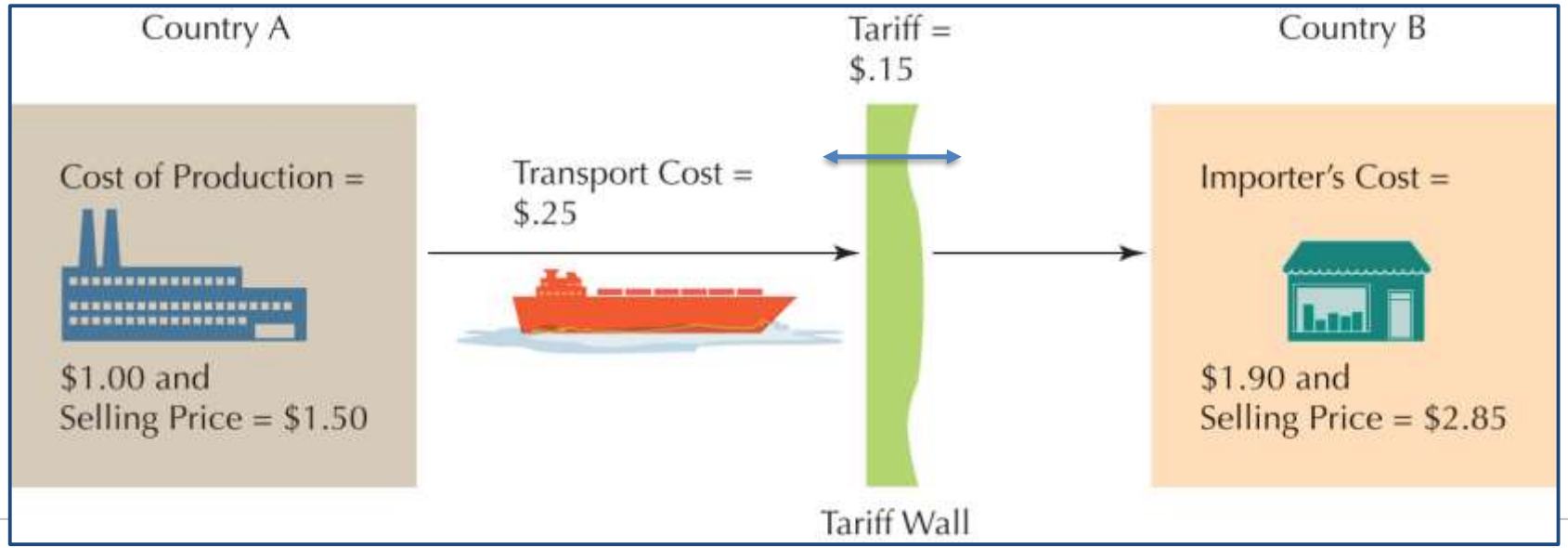
Economic Integration



Economic Integration

Price Escalation in Exporting if Companies Use Cost-plus Pricing

1) Please calculate the benefit of the country A and B ??
2) Please include the economic integration and calculate the new benefit for the importer
3) What kind of **agreement** could you find between the seller A and the buyer B?



UNIVERSIDAD NEBRIJA

3 Latin America/ South America

Economic forces

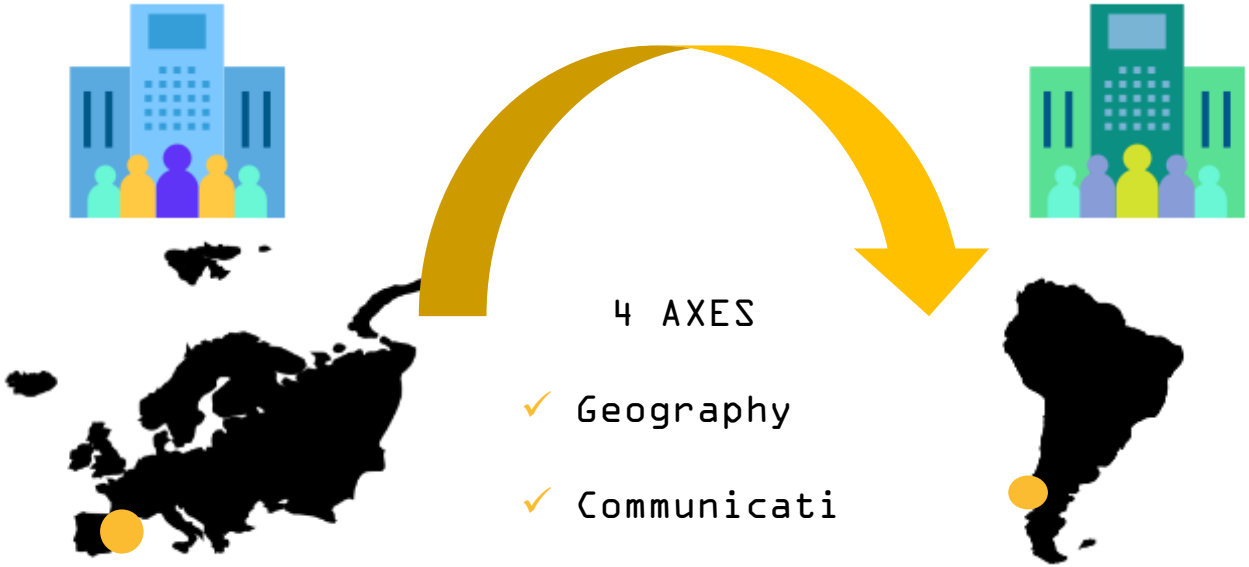
South America is the fourth largest continent in the world and covers an area of 6.89 million square miles. The continent is made up of 12 sovereign **countries**: Colombia, Bolivia, Argentina, Chile, Peru, Uruguay, Brazil, Paraguay, Venezuela, Guyana, Suriname, and Ecuador.

The Southern Common Market (**MERCOSUR** for its Spanish initials) is a regional integration process, initially established by Argentina, Brazil, Paraguay and Uruguay, Its official working languages are Spanish and Portuguese.

UNIVERSIDAD NEBRIJA

Economic Integration and the International Manager

Cultural and structural changes



4 AXES

- ✓ Geography
- ✓ Communication
- ✓ Law
- ✓ Culture

UNIVERSIDAD NEBRIJA